Inventory Management Decision Rational

1. Should Method or QBO be the source of truth (SOT) for IMS?

Method is the SOT for Inventory Management

Rational

1. QBO does not support real inventory workflows.
2. Method is introducing an entire suite of native inventory management features.
3. Our target ICP needs multi-warehouse, bins, stock reservations, etc. — things QBO simply doesn't do.
4. QBO = accounting system, not inventory platform. Businesses already use Katana/SOS for inventory because QBO is insufficient.
5. Our customers have complained of the lack of inventory parity between QBO and QBDT, requesting Method to deliver their desired solution.

Inventory Quantity on Hand (QoH) Rules

1. **Decouple Method QoH from QBO QoH**
   - Method ignores all QBO changes that would otherwise impact Method QoH (e.g., item edits, transaction edits, manual QoH updates in QBO).
   - Method QoH, committed, and expected stock is only updated by Method-controlled actions (e.g., stock adjustments, assigning location quantities, transaction workflows inside Method).
2. **QBO QoH Still Visible in Method**
   - While QBO changes no longer affect Method QoH, the latest QBO QoH continues to display in Method for reference.

⚠️ **Item Syncing**

3. **Items Created in QBO Still Sync to Method**
   - New QBO inventory items continue to flow into Method.
   - On arrival in Method:
     - **Default location assigned with location quantity = QBO QoH**
     - **Method QoH = QBO QoH**
4. **We will treat inventory part items changing item type in QBO as an edge case for future iterations.**

⚠️ **Transaction Syncing**

4. **QBO Transactions Continue Syncing for Accounting Only**
   - Invoices, Sales Receipts, and Purchase Orders created/updated in QBO still sync into Method for accounting and visibility.
   - These synced transactions:
     - **Do not impact Method QoH, committed or expected stock by default**
     - Show location fields in Method as empty until a user explicitly assigns a location and saves.
     - Once a location is added + saved, Method QoH, committed and expected stock updates only from PO (allowing "accounting-only" transactions if left untouched).
     - Invoices and Sales Receipts are accounting transactions and have no impact to Method physical stock tracking quantities (Method QoH, committed, expected, available).
   - Additionally, Bills paid for in QBO will not impact Method QoH but will continue to impact QBO QoH.

⚠️ **Sync Integrity**

6. **Method ↔ QBO Sync Rules Stay the Same (Except QoH)**
   - Items and transactions still sync bidirectionally where applicable.
   - The only exception: QBO QoH never updates Method QoH.
   - This avoids messy 3-way conflicts when external IMS integrations (e.g., Katana, SOS) are also in play

2. If Method is the SOT, do we decouple QOH from QBO?

Different Item QoH for Inventory and Accounting (i.e., Method Specific QoH & QBO Specific QoH)

Rational

1. User trust principle: Inventory integrity = trust. Users need confidence their IMS numbers won't get overwritten by QBO's simplified data.
2. Future-proof for integrations: Katana already ignores QBO QoH. Decoupling now avoids messy 3-way conflicts when Method integrates with external IMSs.

⚠ Method UI displays Method QoH as primary; QBO QoH may be shown as reference (read-only).

⚠ Customers may see discrepancies between QBO QoH and Method QoH.

⚠ Custom screens built on QBO's QoH will continue functioning as-is.

3. What reconciliation tools/logs/audits must we build to maintain trust?

Enhanced Audit Trail with Inventory Specific Filters

Rational:

1. Uses existing Elasticsearch infrastructure - no new systems needed, leverages current investment
2. Minimal development effort - 1-2 sprints to add inventory filters and UI views
3. Single audit system for all operations - maintains consistency across Method platform

⚠ A future inventory-specific audit/conflict page will be added when Katana integration goes live (separate from accounting). But for now we will leverage our current audit log infrastructure.

4. When Katana is connected, does it become the new SOT?

Katana Becomes the SOT for Inventory Once Connected.

Rational:

1. Katana is a dedicated IMS with a full scale inventory solution.
2. Reduces complexity of a 3-way sync.
3. Aligns with user expectations: Customers expect Katana to be the SOT if they are paying for a dedicated IMS.
4. Clear role separation: Katana = Inventory Management, Method = Sales Management, QBO = Accounting.

⚠ Katana quantity values will be stored in the same quantity baskets in Method UI. Hence, so separate baskets when Katana is integrated.

For example, we will continue showing Method QoH but with Katana values.

⚠ If a customer disconnects their Katana integration from Method, the only way to restore to previous inventory state is:

1. Support-assisted rollback possible (within 90 days) of integrating.
2. Otherwise, customers must use import/export to restore inventory state.

5. What happens when conflicting data flows in from Katana and QBO?

Prioritize Katana at All Times as it is the SOT for Inventory.

Rational:

1. Clear hierarchy avoids ambiguity: Katana always wins for inventory.
2. Matches real-world usage: customers use Katana for inventory, QBO for accounting.
3. QBO adjustments are often accounting-driven. These should not overwrite physical inventory states.
4. We should align our language with Katana, to increase trust and integrity.
5. Prevents double counting between QBO and Katana.

⚠ If an item that synced from Katana and QBO have the same name and is a non-inventory part item, we auto-link to prevent conflict.

⚠ If an item that synced from Katana or QBO have the same name and is not a non-inventory part item as an existing Method item, we throw a conflict.

6. Which transactions will be considered for inventory management and how do we ensure changes made to a transaction on QBO do not affect Method's QoH?

Leverage wait for sync approval flag in Invoice, Purchase Order, Sales Receipt

Rationale:

1. From engineering perspective, the two buckets are Inventory and Accounting with Inventory preceding Accounting in currently considered cases. That means, if a transaction has already been sent to Accounting, that is a "finalized transaction" from Inventory perspective.
2. If wait for sync approval flag is unchecked, that means the transaction has synced or is in the process of QBO sync/currently in QBO sync conflict, we do not consider changes made to this transaction for inventory management.

3. The calculation of expected/available/committed would not be triggered for the line items if the transaction being updated already has the QBO transaction Id or “Wait for sync approval” flag is unchecked. We are also checking the presence of QBO transaction Id to ensure we do not get affected by changes made through Method’s REST API.
4. At this point deleting the transaction would not have effect either because everything synced with QBO is a “soft delete” from QBO perspective.
5. If the customer makes a change while the wait for sync approval is checked, those changes will be actively tracked in the inventory management.
6. For Sales Order, the wait for sync approval flag is always checked since it does not sync with QBO. Changes to sales orders will be always tracked for inventory.